

Three independent levers, each modeled on conservative inputs. The numbers below are directional — every figure is adjustable in the live calculators and should be re-run against real RO, payroll, and parts-invoice data before final commitment.

1

Labor Rate Update

\$139 → \$170 / hr

+\$446K

per year · +\$37.2K/mo

Nearly all margin — almost no added cost

14,400 billed hrs × \$31 uplift

Same wrenches, same bays

Needs: online booking + proof of your real rate

2

Shop Supplies Fee

7% of labor · capped \$40

+\$54K

per year · +\$4.5K/mo

No upfront cost — automated by the system

Recovers consumables automatically & seamlessly

Recovers consumables without small line items

Trust win + margin in one move

3

Tekmetric Shop System

~\$1,500/mo (est.) · 3 locations

8.6 days

to pay for itself / month

\$3.48 back on every \$1

+\$44.5K/yr net — labor recovery alone

Bulletproof PA-compliant audit trail

Idle-bay + collections = pure upside

COMBINED ANNUAL OPPORTUNITY — DIRECTIONAL, SEPARATE LEVERS, NO DOUBLE-COUNT

~\$545K / yr

Labor Rate	+ \$446,400
Shop Supplies	+ \$53,712
Tekmetric (net)	+ \$44,550

EXECUTION SEQUENCE

- 1

Pilot Tekmetric — start now. Run it at a single shop first; it hardcodes the supplies fee and authorizations, so there's no manual error. Techs use their own phones, so there's no tablet to buy. Pays for itself by the 9th.
- 2

Shop Supplies Fee — once the system's in. Let Tekmetric auto-apply the 7% (capped \$40) so it's exact and PA-compliant every time. Disclose on the estimate and with signage.
- 3

Labor rate to \$170 — once the new site and proof of your real rate are in hand. The big lever. Roll it out alongside the video inspection — not the same month as the supplies fee — so customers see new value, not just a higher price.

NON-NEGOTIABLE: PA COMPLIANCE

ITEMIZE AND DOCUMENT.
Every estimate must be exact, itemized, and carry documented pre-authorization. A disputed estimate without signed authorization loses 100% of the time. The shop-supplies fee must appear as its own disclosed line. Tekmetric's timestamped digital authorization turns that compliance risk into a documented, protected record.